

**SUBSTITUTE FOR  
SENATE BILL NO. 692**

A bill to amend 2012 PA 387, entitled  
"Regional transit authority act,"  
by amending section 10 (MCL 124.550).

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

1       Sec. 10. (1) An authority may raise revenues to fund all of  
2 ~~its~~**the authority's** activities, operations, and investments  
3 consistent with ~~its~~**the authority's** purposes. The sources of  
4 revenue available to an authority include, but are not limited to,  
5 all of the following:

6       (a) Fees, fares, rents, or other charges for use of a public  
7 transportation system.

8       (b) Federal, state, or local government grants, loans,  
9 appropriations, payments, or contributions.



(c) Proceeds from the sale, exchange, mortgage, lease, or other disposition of property acquired by the authority.

(d) Grants, loans, appropriations, payments, proceeds from repayments of loans made by the authority, or contributions from public or private sources.

(e) The proceeds of an assessment levied under subsection (2).

(f) The proceeds of a motor vehicle registration tax collected under subsection (3).

(g) Investment earnings on the revenues described in subdivisions (a) to (f).

(2) An authority may levy an assessment within the public transit region only as approved by the board and a majority of the electors of the public transit region voting on the assessment at a general election held on the regular November election date as provided in section ~~641(1)(d)~~ **641** of the Michigan election law, 1954 PA 116, MCL 168.641. An assessment approved by the board and a majority of electors of the public transit region under this subsection ~~shall~~ **must** be collected and enforced in the same manner as taxes are collected and enforced under the general property tax act, 1893 PA 206, MCL 211.1 to 211.155. When submitting a proposal on the question of authorizing an assessment to be levied under this act, the ballot ~~shall~~ **must** state all of the following:

(a) The assessment rate to be authorized.

(b) The duration of the assessment.

(c) A clear statement of the purpose for the assessment.

(d) A clear statement indicating whether the proposed assessment is a renewal of a previously authorized assessment or the authorization of a new additional assessment.

(3) An authority may collect a motor vehicle registration tax



1 dedicated to the purpose of public transportation, if authorized  
2 under the Michigan vehicle code, 1949 PA 300, MCL 257.1 to 257.923.

3 (4) An authority shall ensure that not less than 85% of the  
4 money raised in each member jurisdiction through either an  
5 assessment under subsection (2) or a motor vehicle registration tax  
6 under subsection (3), or both, is expended on the public  
7 transportation service routes located in that member jurisdiction.

8 (5) Starting in the fiscal year that begins at least 12 months  
9 after ~~the effective date of this act,~~ **December 19, 2012,** an  
10 authority shall submit to the department an asset management plan  
11 for all revenue vehicles and facilities, major facility components,  
12 and major pieces of equipment as defined by the department. An  
13 authority shall update the asset management plan annually.

14 (6) After the first 12 months of operation of a rolling rapid  
15 transit system, and annually thereafter, an authority shall provide  
16 a report to the legislative body of each member jurisdiction  
17 showing the cost of service and revenue generated in each member  
18 jurisdiction.

19 Enacting section 1. This amendatory act takes effect January  
20 1, 2028.

21 Enacting section 2. This amendatory act does not take effect  
22 unless Senate Bill No. 691 of the 103rd Legislature is enacted into  
23 law.

